QUANTUM BUSINESS SOLUTIONS, LLC

# Confidentiality, IP and Non-Solicitation Agreement

For Quantum employees and contractors

*DRAFT – Yellow bracketed items must be confirmed or completed. Have counsel review before signing or sending.*

This Confidentiality, Intellectual Property and Non-Solicitation Agreement (the "**Agreement**") is between **Quantum Business Solutions, LLC**, 1809 West Parkwood Circle, Sioux Falls, SD 57108 ("**Quantum**"), and the individual or entity named in the signature block (the "**Worker**"), who is an employee or independent contractor of Quantum. It is effective on the date signed (or, if Worker already works for Quantum, the date signed and applying to all prior work).

**Please read carefully.** Worker has 14 days to review this Agreement before signing and is encouraged to consult an attorney. Worker may sign sooner if Worker chooses.

## 1. Why this Agreement exists

1.1 Quantum's business depends on its clients' trust, its confidential methods and its relationships. In return for Worker's engagement or continued engagement, access to Confidential Information and client relationships, training, and [for employees: additional consideration such as a signing payment or bonus of $____ — recommended where state law requires fresh consideration], Worker agrees to the terms below.

1.2 These terms protect legitimate business interests: Quantum's trade secrets and Confidential Information, its client goodwill and its investment in training its team. They are not intended to stop Worker from earning a living or from ordinary competition that does not use Quantum's information or relationships.

## 2. Definitions

2.1 "**Client**" means any person or company for which Quantum provides, or within the previous 12 months provided, services.

2.2 "**Prospect**" means a person or company to which Quantum made a written proposal or with which Quantum held substantive sales discussions within the 12 months before the relevant date, and about which Worker participated in the discussions or received Confidential Information.

2.3 "**Client Customer**" means any customer, prospect, lead or contact of a Client that Worker learned of, or whose information Worker accessed (for example in a Client's CRM, email, files or reports), through work for Quantum.

2.4 "**Confidential Information**" means non-public information of (a) Quantum, including its methodologies, processes, SOPs, templates, frameworks, prompts, automations, code, pricing, financials, strategies, Client and Prospect lists and contact details, contract terms, and the identity of and details about the people on its team; (b) any Client, including its data,

systems, credentials, documents, customers and processes; and (c) third parties that Quantum must keep confidential. It does not include information that is public through no fault of Worker, or general skills, knowledge and experience Worker brings to or gains in the work that are not specific to Quantum or a Client.

2.5 "**Competing Services**" means services that are the same as or substantially similar to those Quantum offers to Clients (CRM, marketing-technology, website, sales and service-operations consulting, implementation and support) and that Worker performed or learned about in the last 12 months of Worker's work for Quantum.

2.6 "**Restricted Period**" means the period of Worker's engagement with Quantum and [12] months after it ends for any reason.

## 3. Confidentiality and data handling

3.1 Worker will keep Confidential Information strictly confidential, use it only to do work for Quantum, and not disclose it to anyone outside Quantum except as Quantum authorizes or the law requires. These obligations continue after the engagement ends for as long as the information remains confidential (and for trade secrets, as long as they remain trade secrets).

3.2 Worker will follow Quantum's security and acceptable-use requirements, including: MFA and SSO on all accounts; a company-approved password manager; no shared accounts; completing security awareness training when assigned; using only approved systems and AI tools for client information; never entering credentials or regulated data into AI tools; keeping devices encrypted, locked and updated; and promptly reporting any suspected incident or lost device.

3.3 Worker will not copy, forward, download or store Confidential Information on personal email, personal cloud storage or personal devices not approved by Quantum, and will not remove it when the engagement ends.

3.4 Worker will not use Confidential Information to compete with Quantum or to benefit anyone other than Quantum and its Clients.

3.5 When the engagement ends, or earlier on request, Worker will return all Quantum and Client property and Confidential Information, delete any copies, give up all credentials, and confirm in writing that Worker has done so.

3.6 Worker will not bring to Quantum, or use in Quantum's work, any confidential information belonging to a former employer or other third party.

## 4. Intellectual property

4.1 **Ownership.** All work product, deliverables, inventions, processes, templates, code, documentation, automations, designs, content and other materials that Worker creates, alone or with others, in the course of work for Quantum, or using Quantum's or a Client's Confidential Information, equipment or resources, or that relate to Quantum's business ("**Work Product**"), are owned exclusively by Quantum (or, where Quantum's Client agreement says so, by the Client). To the extent not automatically owned by Quantum as a "work made for hire," Worker assigns to Quantum all right, title and interest in Work Product, including all intellectual property rights, now and in the future.

4.2 **Contractors.** Where Worker is an independent contractor, the assignment in Section 4.1 applies in full. If any right cannot be assigned under applicable law, Worker grants Quantum an exclusive, perpetual, worldwide, irrevocable, royalty-free, transferable license to use it.

4.3 **Pre-existing materials.** Worker keeps ownership of materials Worker created before working for Quantum, or independently of it, and listed in **Exhibit A** ("**Prior Materials**"). If Worker includes any Prior Materials in Work Product, Worker grants Quantum a perpetual, worldwide, irrevocable, royalty-free, transferable license to use, modify and distribute them as part of the Work Product. Worker will not include third-party or open-source materials in Work Product without Quantum's approval.

4.4 **Further assurances.** Worker will sign documents and take actions reasonably requested to perfect and enforce Quantum's rights, during and after the engagement, and appoints Quantum as its attorney-in-fact solely for that limited purpose if Worker does not do so within a reasonable time.

4.5 **Limited exception.** Section 4.1 does not apply to an invention that Worker developed entirely on Worker's own time without using Quantum's or a Client's equipment, supplies, facilities or Confidential Information, except for inventions that relate to Quantum's business or actual or demonstrably anticipated research or development, or that result from work Worker performed for Quantum. This Section is intended to comply with state laws that limit invention assignments (see Exhibit B).

4.6 **No use of Quantum's methods elsewhere.** Worker will not use or reproduce Quantum's templates, frameworks, SOPs, prompts, automations or code for anyone other than Quantum and its Clients, during or after the engagement, except as part of Worker's own general skills and knowledge.

## 5. Protecting Quantum's Clients and Prospects

The following restrictions apply during the Restricted Period, subject to Exhibit B.

5.1 **No solicitation.** Worker will not, directly or through others, solicit, induce or encourage any Client or Prospect (a) with which Worker had material business contact, or (b) about which Worker obtained Confidential Information, in each case in the last 12 months of Worker's work for Quantum, to end, reduce or not begin its business with Quantum, or to purchase Competing Services from anyone other than Quantum.

5.2 **No diversion.** Worker will not accept, or assist another to accept, an engagement to provide Competing Services to any Client or Prospect described in Section 5.1 where Worker's involvement results from Worker's work for Quantum or use of Confidential Information. [Counsel: this is the most state-sensitive clause; see Exhibit B.]

5.3 **Not covered.** General advertising and responding to unsolicited inquiries that do not involve Confidential Information do not violate Section 5.1, but Worker must still comply with Section 5.2.

## 6. Protecting Quantum's Clients' customers and prospects

6.1 **No use of Client Customer information.** At all times, Worker will not use or disclose any information about a Client Customer obtained through work for Quantum (including CRM

data, lists and contact details) for the benefit of Worker or anyone other than that Client and Quantum.

6.2 **No solicitation of Client Customers.** During the Restricted Period, Worker will not, directly or through others, solicit any Client Customer (a) with which Worker had contact, or (b) whose information Worker accessed, through work for Quantum in the last 12 months of the engagement, for the purpose of selling goods or services that compete with the Client's, or of inducing the Client Customer to end or reduce its dealings with the Client.

6.3 **Purpose.** Sections 6.1 and 6.2 exist because Clients entrust Quantum with their customers' information and relationships, and Quantum has promised each Client to safeguard them.

## 7. Protecting Quantum's team

During the Restricted Period, Worker will not, directly or through others, solicit or recruit any Quantum employee or contractor with whom Worker worked or about whom Worker learned Confidential Information, to end or reduce their relationship with Quantum. General advertisements not targeted at Quantum personnel do not violate this Section.

## 8. Notice to new employers and Quantum

During the Restricted Period, Worker will tell any new employer or client, before accepting the role, about Sections 3 through 7 of this Agreement, and will tell Quantum in writing about any new engagement that could reasonably involve Competing Services. Quantum may provide a copy of this Agreement to them.

## 9. Protected rights

Nothing in this Agreement prevents Worker from: (a) reporting possible violations of law to, filing a charge with, or participating in an investigation by any government agency; (b) making disclosures protected by whistleblower laws; (c) discussing or disclosing wages, hours or other terms and conditions of employment, or engaging in other activity protected by Section 7 of the National Labor Relations Act; (d) disclosing or discussing conduct Worker reasonably believes is unlawful discrimination, harassment, retaliation or sexual assault, to the extent protected by law; or (e) testifying truthfully in a legal proceeding.

**Defend Trade Secrets Act notice (18 U.S.C. § 1833(b)).** An individual will not be held criminally or civilly liable under any federal or state trade secret law for disclosing a trade secret (a) in confidence to a federal, state or local government official or to an attorney solely for the purpose of reporting or investigating a suspected violation of law, or (b) in a complaint or other document filed under seal in a lawsuit or other proceeding. An individual who files a lawsuit for retaliation for reporting a suspected violation of law may disclose the trade secret to the individual's attorney and use it in the court proceeding if the individual files any document containing the trade secret under seal and does not disclose it except by court order.

## 10. Remedies and enforcement

10.1 Worker agrees that a breach of Sections 3 through 7 would cause Quantum irreparable harm, and that Quantum may seek temporary, preliminary and permanent injunctive relief

without posting a bond, to the extent permitted by law, in addition to damages and other remedies.

10.2 The Restricted Period is extended by any period during which Worker is in breach, to the extent permitted by law.

10.3 If a court finds any restriction too broad to enforce, the parties ask the court to narrow it ("blue-pencil" or reform it) to the extent necessary and enforce it as narrowed, and each restriction is a separate, severable promise. Where applicable state law does not permit reformation, the restriction as written will apply only to the extent enforceable under that law.

10.4 The prevailing party in an action to enforce this Agreement may recover reasonable attorneys' fees and costs, to the extent permitted by law. [Counsel: some states restrict fee-shifting against employees; keep or delete.]

## 11. Independent contractors

If Worker is an independent contractor, this Agreement does not create an employment relationship. Worker is responsible for ensuring that any person Worker engages to perform services for Quantum signs a written agreement with terms at least as protective of Quantum and its Clients as this Agreement, and Worker is responsible for any breach by them.

## 12. General

12.1 **Governing law.** Except where the law of Worker's state of residence or primary work location mandatorily applies (see Exhibit B), this Agreement is governed by South Dakota law. [Counsel: confirm.] Venue for any action is in [Minnehaha County, South Dakota], except where the law requires otherwise.

12.2 **Entire agreement; changes.** This Agreement is the entire agreement on its subject and supersedes prior agreements on it, but is in addition to (not in place of) any other confidentiality or IP obligations Worker has to Quantum. It may be changed only in a writing signed by Quantum and Worker. Any services or employment agreement remains in effect; if there is a conflict about confidentiality, IP or non-solicitation, the more protective provision applies, subject to law.

12.3 **Assignment.** Quantum may assign this Agreement to a successor or affiliate, and it benefits Quantum's successors. Worker may not assign it.

12.4 **Survival.** Sections 3 through 12 survive the end of the engagement for any reason. Continued engagement, change of role or compensation, or termination does not affect them.

12.5 **Acknowledgment.** Worker confirms that Worker has read and understood this Agreement, has had at least 14 days to review it and the opportunity to consult an attorney, and signs it voluntarily.

Signed by the parties.

**QUANTUM BUSINESS SOLUTIONS, LLC**

By: _____

Name: Shawn Peterson

Title: Chief Executive Officer

Date: _____

**WORKER**

Signature: _____

Printed name: _____

State of residence / primary work location: _____

[ ] Employee [ ] Independent contractor

Date: _____

## Exhibit A – Prior Materials

List any materials, tools, code, templates or inventions that Worker owns and wants excluded from Section 4.1 (or write "None"). Do not include any confidential information of a former employer or third party.

| Item | Short description |
|---|---|
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| | |

## Exhibit B – State-Specific Provisions

These provisions apply if Worker resides, or primarily works, in the listed state. If a provision of this Agreement is not allowed by that state's law, it does not apply to Worker, and the rest of the Agreement remains in effect. **Counsel must confirm each row against current law before this Agreement is used; state non-compete and non-solicit law is changing rapidly.** The FTC's 2024 nationwide non-compete rule was set aside by a federal court and is not in effect.

| State | Rule (summary, to be verified) | How this Agreement adapts |
|---|---|---|
| All states | Several states require a review period, advice to consult an attorney, minimum pay or fresh consideration for restrictive covenants (for example CO, IL, WA, OR, MA). | 14-day review and attorney notice given in this Agreement. Confirm pay thresholds and consideration before signing. Provide required separate notices where a state requires them. |
| California | Business and Professions Code §§ 16600, 16600.1 and 16600.5 void covenants that restrain a person from engaging in a lawful profession, including most customer and employee non-solicitation clauses, even if signed elsewhere. Labor Code § 2870 limits invention assignment. | Sections 5, 6.2, 7 and 8 do not apply. Sections 3, 4 and 6.1 (confidentiality, IP, no use of trade secrets) remain. Section 4.5 and the notice below apply. |
| North Dakota | N.D.C.C. § 9-08-06 voids most covenants not to compete, including most customer and employee non-solicits. | Treated like California for Sections 5.2, 6.2 and 7. Confidentiality and trade secret protections remain. |

| State | Rule (summary, to be verified) | How this Agreement adapts |
|---|---|---|
| Minnesota | Minn. Stat. § 181.988 bans employee non-competes signed on or after July 1, 2023; non-solicits are still allowed. Minn. Stat. § 181.78 limits invention assignment. | Section 5.2 does not apply (it operates as a non-compete). Sections 5.1, 6 and 7 apply. |
| Colorado | C.R.S. § 8-2-113 allows customer non-solicits only for highly compensated workers (60% of the state threshold) and requires a separate signed notice. | Sections 5.1, 5.2 and 6.2 apply only if the pay threshold is met and the notice is signed; otherwise they do not apply. |
| Illinois | Freedom to Work Act (820 ILCS 90) bars non-solicits for workers below an earnings threshold and requires 14 days' review and a written recommendation to consult an attorney. | Sections 5 to 7 apply only if the threshold is met. Notices in this Agreement are intended to satisfy the statute. |
| Washington | RCW 49.62 limits non-competes by earnings and restricts customer non-solicits to current customers; imposes disclosure-before-acceptance requirement and invention-assignment limits (RCW 49.44.140). | Sections 5.1 and 6.2 are limited to current Clients and Client Customers. Section 5.2 does not apply unless Worker meets the earnings threshold. |
| Oklahoma | 15 O.S. § 219A allows non-solicits of established customers but not non-competes. | Sections 5.1, 6.2 and 7 apply to established Clients only; Section 5.2 does not apply. |
| Wisconsin | Wis. Stat. § 103.465 voids an entire restrictive covenant if any part is unreasonable and does not permit blue-penciling. | Section 10.3 reformation does not apply. Keep restrictions narrow and review before use. |
| Louisiana | La. R.S. 23:921 requires the covenant to name the parishes or municipalities covered and limits it to two years. | Add a list of parishes or municipalities covered to Section 5 for Louisiana Workers. |
| South Dakota | SDCL 53-9-11 permits reasonable restrictions on employees for up to two years in a specified area where the employer carries on a like business. | Area: the United States and any other place where Quantum has a Client or Prospect Worker dealt with. [Counsel to confirm "specified area" language.] |
| Other states | Many other states restrict or regulate non-competes and non-solicits (for example MA, OR, VA, MD, NV, DC, WY). | Add a row after counsel review before engaging Workers there; until then use the 14-day notice and keep Section 5 limited to non-solicitation. |

**Invention assignment notice (applies to all states).** Section 4.1 does not apply to an invention that qualifies fully for exclusion under the law of California (Labor Code § 2870), Delaware (19 Del. C. § 805), Illinois (765 ILCS 1060/2), Kansas (K.S.A. § 44-130), Minnesota (Minn. Stat. § 181.78), North Carolina (N.C. Gen. Stat. § 66-57.1), Utah (Utah Code § 34-39-3), Washington (RCW 49.44.140) or any other applicable state, as described in Section 4.5.